

TRADE SECRETS

Notes

IP71005 Other Forms of IP

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1. What a trade secret is

Every other intellectual property right is a creation of the mind, is intangible, is registered, and is given in return for **public disclosure**. A trade secret keeps the first two features and reverses the rest:

1. **No disclosure.** The value lies in not telling anyone.
2. **No registration.** There is no office, no examination, no certificate.
3. **No bargain with the State.** You teach the public nothing, so you get nothing back. You keep the information and you keep the risk.

A patent survives publication. A trade secret is destroyed by it. Once lost, it is lost forever. The loss is reputational as well as financial, because the market learns you could not protect your own information.

It sits at the meeting point of **labour law, intellectual property, unfair competition, equity, contract and criminal law**. That is why no single statute fits it.

Definition. Any confidential business information that gives an enterprise a competitive edge. **Secret** means kept confidential. **Trade** means it earns profit.

1.1 Subject matter

Four categories: **financial, technical and scientific, commercial, and negative information**.

Negative know how is the data from failed experiments. It is protected because telling a rival which routes fail saves the rival the whole cost of finding out. So a trade secret need not teach anything positive.

Across the life of a business:

1. **Research.** Results of research, both positive and negative.
2. **Production.** Formula or recipe, and the steps of production.
3. **Commercialisation.** Sales and distribution methods, consumer profiles, advertising strategy, supplier and client lists.

In software: source code, algorithms, data flow charts, design documents, performance data, development agreements, and **pending patent applications**. In business generally: plans and strategies, product names, financial projections, cost and pricing, sales data, customer lists, personnel performance.

Compiled information is a compilation where each element is public but the **selection and arrangement** is not. This is where trade secret law meets copyright in databases.

1.2 Examples, and what each one shows

1. **Coca Cola.** Secrecy was chosen over a patent to avoid disclosing the ingredients. The company left India in 1977 rather than reveal the formula. In 2006 an employee tried to sell it to Pepsi, who reported him. *Shows the patent against secrecy choice, and that espionage is real.*
2. **KFC.** The recipe sits in a vault with two locks. Only two executives have access and they may not travel together. Two separate companies blend different portions of the mix. *Shows reasonable steps at their most extreme.*
3. **Google.** PageRank is a **trademark**, the process is **patented**, and the manipulation tools are **trade secrets**. *Shows one product carrying three rights.*
4. **Listerine.** Royalties were paid to the inventor's family for over seventy years, even after the formula became public. *Shows a licence can outlive the secret.*
5. **WD 40.** Never patented, mixed in three cities, and **already reverse engineered**, yet kept secret for marketing. *Shows a secret can survive commercially after it is technically broken.*
6. **Krispy Kreme.** The recipe is in a safe, but the real advantage is the **process**, the assembly line producing warm doughnuts. *Shows the process may be the secret, not the recipe.*
7. **New York Times bestseller list.** The method is secret so that **publishers cannot manipulate it**. *Shows secrecy can guard against manipulation, not imitation.*

2. The three ingredients

The plaintiff must prove all three.

1. **Secret.** Not generally known among, or easily accessible to, people in the circles that normally deal with that kind of information. Merely unpublished or internal is not enough. It need not be known to only one person, so sharing it under a supplier arrangement, a joint development agreement or due diligence does not destroy it.
2. **Commercial value because it is secret**, actual or potential. The link must be causal. **If the information would be just as valuable after publication, it is not a trade secret.** Value is shown by the benefit from use, the cost of development, or licensing offers.
3. **Reasonable steps.** Judged case by case against the size of the business and the value of the information. Security procedures, non disclosure agreements and a management programme, so that the information could be obtained **only through improper means**.

The same three appear in **TRIPS Article 39(2)**, the **Uniform Trade Secrets Act**, and **Article 2(1) of Directive (EU) 2016/943**.

On the definition the world has converged. It diverges on remedies, procedure and criminal liability. Protection ends if secrecy fails or if someone independently discovers the information. A trade secret does not expire; it ends only on discovery or loss.

3. Compared with other rights

3.1 Against a patent

1. **Term.** Unlimited until disclosed, against twenty years.
2. **Subject matter.** No restriction, against patentable subject matter only. Novelty, utility and non obviousness do not apply to a secret.
3. **Disclosure and filing.** None, against full disclosure and filing at the Patent Office.
4. **Cost.** No official fee, but the cost of keeping the information secret, against filing and renewal fees.
5. **Independent development.** A patent stops it. A trade secret does not.
6. **Reverse engineering.** It destroys a secret. It does not touch a patent.
7. **Licensing.** A secret can be licensed for as long as it lasts. A patent royalty ends with the term.
8. **Proof.** Circumstantial evidence is enough for misappropriation. A patent needs claim analysis or the doctrine of equivalents.
9. **Damages.** A secret gives actual loss plus unjust enrichment, with exemplary damages in many systems. A patent gives **only real loss**, and **nothing at all for acts before grant**.

Advice test. Ask how easily the innovation can be reverse engineered out of the product. **Easy, take a patent, because secrecy will not hold. Difficult, keep it secret, because protection is unlimited and nothing is disclosed.**

3.2 Advantages and disadvantages

Advantages. Unlimited term; no registration cost; immediate effect; no formalities.

Disadvantages. Reverse engineering defeats it; there is **no right to exclude**; publication ends it; enforcement is weak and varies by country; and **someone else may patent the same information** and exclude you.

3.3 Against copyright, trademark and design

Copyright protects the expression, not the information, and survives publication. The overlap is sharpest in software and databases. In India compilations including computer databases are literary works under

Section 2(o), Copyright Act, 1957. Trademark needs public use, so it barely overlaps. **Design** protects appearance visible on the product, which cannot stay secret after launch.

3.4 Patent or secrecy: seven questions

1. Is it **patentable** at all?
2. Can it **actually be kept secret**, or is it visible from the product?
3. Will it **become generally known soon** through competitors or academia?
4. Would the patent **survive an attack** in litigation?
5. How fast will it **become obsolete**?
6. How long until it can be **commercialised**?
7. Is it **worth patenting** at all, given the cost?

For India add that **Section 3(k), Patents Act, 1970** excludes mathematical and business methods, computer programmes as such, and algorithms. Much software therefore falls into trade secrecy by default.

4. Protecting a trade secret

Four steps. Consider first whether a patent would be better. Keep the number of people who know it small, and make sure each knows it is confidential. Put confidentiality clauses in employment contracts. Sign confidentiality agreements with business partners before disclosing.

Four layers of protection:

1. **Legal.** Confidentiality clauses, non disclosure agreements, assignment of rights, exit acknowledgements.
2. **Administrative.** Written policy, classification of information, need to know access, marking, secure destruction, recorded training.
3. **Technical.** Access control, role based permissions, encryption, data loss prevention, logging of access and copying.
4. **Evidentiary.** Access logs, version histories, device forensics. The layer everyone forgets.

Layers two and three are **how the third ingredient, reasonable steps, is satisfied**. Layer four is what actually wins the case.

Why the law protects secrets. To keep standards of commercial ethics and fair dealing; to give an **incentive to innovate**, especially where the innovation is not patentable or not worth patenting; and because otherwise competitors would use it without bearing the cost or the risk.

How secrets are lost. Four causes: globalised market, digitisation, mobile workforce, fragmented value chain. Five actors: nation states, activists, competitors, organised crime, malicious insiders. Six losses: financial, brand damage, competitive disadvantage, regulatory non compliance, market share, operational impairment.

5. Proving a trade secret

No trade secret exists in law until a court says it does. Existence is a question of fact, decided by a jury in the United States and by the judge in India. So a trade secret programme must be built around winning in court.

5.1 The six factor test

From the **Restatement of Torts, 1939, Section 757, comment b**. Section 758 sets out the elements of the claim. The Restatement (Third) of Unfair Competition, 1993, Sections 39 to 45, restates it. The six factors ask:

1. how far the information is known **outside** the business;
2. how far it is known by **employees inside** it;
3. what **measures** were taken to guard secrecy;
4. the **value** to the business and to competitors;
5. the **time, effort and money** spent developing it;
6. how **easily others could properly acquire or duplicate** it.

The scores can be combined into a **Defendability Factor**, which shows how likely the claimed secret is to survive in court. A company uses it to plead only its strongest secrets.

5.2 EONA, the four unique proofs

Six proofs win a case. Use and damages are common to all intellectual property. Four are unique to trade secrets:

1. **Existence.** What exactly is it? It must be stated precisely.
2. **Ownership.** Does the plaintiff own it?
3. **Notice.** Did the defendant know, actually or constructively, that it was a trade secret?
4. **Access.** Did the defendant have access to it?

5.3 Ownership

The work for hire doctrine does not apply to trade secrets. It belongs to the United States Copyright Act. So the company needs an **assignment from everyone involved in creating** the information. Three consequences:

1. If the employee was hired to do exactly that work, the result belongs to the **employer**.
2. If the employee invented something **outside his assigned duties**, the rights stay with the **employee**. The employer may still have a **shop right** if company time, personnel, facilities or equipment were used.
3. A person who **reverse engineers or independently develops** the same secret **becomes an owner too**, and cannot be sued.

5.4 The burden of proof, in four steps

1. **Establish the secret character.** Internal or unpublished is not enough.
2. **Demonstrate reasonable steps**, with documents.
3. **Distinguish skill from secret.**
4. **Prove actual or threatened misuse.** Employment with a competitor alone is not enough.

Every Indian case fails at one identifiable rung. **Priya Puri** at rung one. **Navigators Logistics** and **Ritika** at rung one, on pleading. **Varun Tyagi** at rung four.

6. International rules

6.1 Paris Convention, 1883

Trade secrets are not a listed category. Protection comes from **Article 10bis**, which requires protection against **unfair competition**, meaning competition contrary to honest practices. **Article 10ter** requires remedies.

6.2 TRIPS Article 39

1. **Article 39(1)** links the obligation to Article 10bis of Paris.
2. **Article 39(2)** requires that a person have the **possibility** of preventing disclosure, acquisition or use **contrary to honest commercial practices**. That phrase means at least breach of contract, breach of

confidence and inducement to breach, and it covers third parties who **knew, or were grossly negligent in failing to know**.

3. **Article 39(3)** protects undisclosed test data submitted for marketing approval of pharmaceutical or agricultural chemical products using **new chemical entities**, against unfair commercial use and disclosure.

Procedure: **Article 42** requires fair procedures and protection of confidential information. **Article 44** requires injunctions, including against infringing imports after customs clearance. **Article 45** requires damages and expenses, which may include attorney fees.

Article 39(2) requires only the possibility of preventing misuse. It does not require a statute. That one word is why India can claim compliance with no trade secret Act.

7. United States

The law began in state courts in the mid nineteenth century, growing out of breach of confidence, unfair competition, unjust enrichment and employment law. It now sits in five layers: the **Restatements**; the **Uniform Trade Secrets Act** at state level; and three federal statutes, the **Trade Secrets Act 1948**, the **Economic Espionage Act 1996** and the **Defend Trade Secrets Act 2016**.

7.1 Uniform Trade Secrets Act, 1979, amended 1985

A model law. It has no force of its own and binds only where a state enacts it. It gives a definition, a definition of misappropriation, and remedies.

Definition. Information, including a formula, pattern, compilation, program, device, method, technique or process, that derives **independent economic value, actual or potential**, from not being generally known and not readily ascertainable by proper means, and is the subject of **efforts reasonable in the circumstances** to keep it secret.

Misappropriation has two limbs:

1. **Acquisition** by a person who knows or has reason to know it was acquired by **improper means**.
2. **Disclosure or use** without consent by a person who used improper means, or who knew or had reason to know the knowledge came from such a person or from someone under a **duty of secrecy**, or who, **before a material change of position**, knew it was a trade secret acquired **by accident or mistake**.

Remedies. Injunction for actual or threatened misappropriation; lost profits; unjust enrichment; reasonable royalty; **exemplary damages capped at twice the compensatory award**; attorney fees.

Massachusetts and New York differ. Both require **continuous use** of the secret, both refuse the liberal cost shifting provisions, and both are hesitant about inevitable disclosure.

7.2 Trade Secrets Act, 1948

18 U.S.C. 1905. It forbids **federal employees and government contractors** from unauthorised disclosure of confidential government information. Penalty: removal from office, plus a fine or imprisonment up to **one year**. It does not apply to state actors or to private employees, so it is not a general trade secret law.

7.3 Economic Espionage Act, 1996

Criminal law, at **18 U.S.C. 1831 to 1839**. Two offences, separated only by who benefits:

1. **Section 1831, economic espionage.** The offender intends or knows the offence will benefit a **foreign government, instrumentality or agent**. Individual: 5 million dollars and 15 years. Organisation: the greater of 10 million dollars or **three times the value** of the secret, including avoided research and reproduction costs.
2. **Section 1832, theft of trade secrets.** The offender intends to give an **economic benefit to another party**, and the secret relates to a product or service used in or intended for interstate or foreign commerce. Individual: 250,000 dollars and 10 years. Organisation: 5 million dollars.

Four further points:

1. Under **Section 1831** the benefit can be **reputational, strategic or tactical**, not only economic. A foreign corporation acting **without state sponsorship cannot be charged** under it. Under Section 1832 the benefit must be economic.
2. **Intent to injure** needs no malice. It is enough that the actor knew **to a practical certainty** that his conduct would disadvantage the owner.
3. **Section 1833** preserves lawful government activity and the reporting of suspected violations. **Section 1837** gives extraterritorial reach where the offender is a United States person or an act in furtherance happened there.
4. The Act **does not preempt** the Computer Fraud and Abuse Act, the National Stolen Property Act or the wire fraud statute.

The gap. There was **no private civil right of action**. Four bills to create one all failed: the Protecting American Trade Secrets and Innovation Act 2012, the Private Right of Action Against Theft of Trade Secrets Act 2013, the Trade Secrets Protection Act 2014, and the Future of American Innovation and Research Act 2013.

Two amendments passed in 2012. The **Theft of Trade Secrets Clarification Act**, 28 December 2012, responded to **Aleynikov** by replacing the words about a product **produced for or placed in** commerce with **a product or service used in or intended for use in** commerce. The **Foreign and Economic Espionage Penalty Enhancement Act**, signed 14 January 2013, raised the Section 1831 fines.

7.4 Defend Trade Secrets Act, 2016

Effective **11 May 2016**. It created the **federal civil cause of action** that the 1996 Act lacked, for an owner or licensee of a secret related to a product or service used in interstate or foreign commerce.

It borrows the 1996 definitions, but adds that **improper means does not include reverse engineering, independent derivation, or any other lawful means of acquisition**.

Civil seizure. On an ex parte application a court may order law enforcement to seize property, but only in **extraordinary circumstances** and only on eight findings:

1. other injunctive relief would be **ineffective**, because the defendant would evade it;
2. the applicant would suffer **immediate and irreparable injury** without it;
3. the harm of refusing **outweighs** harm to the defendant and **substantially outweighs** harm to third parties;
4. the applicant is **likely to succeed** on both secrecy and misappropriation;
5. the defendant has **actual possession** of the secret and the property;
6. the matter and its location are described with **reasonable particularity**;
7. the defendant **would destroy or hide** the matter if given notice; and
8. the applicant **has not publicised** the request.

A hearing must follow **within seven days**, security is required, and wrongful seizure gives the victim a **cause of action for damages**.

Remedies. Injunction; orders requiring protective steps; and, in **exceptional circumstances where an injunction would be inequitable**, a **royalty injunction** allowing continued use on payment. Damages are actual loss, plus unjust enrichment not already counted, or **in the alternative a reasonable royalty**. **Exemplary damages up to twice** the compensatory award for wilful and malicious misappropriation, and attorney fees for bad faith or wilful conduct.

Limitation is three years from when the misappropriation was, or should reasonably have been, discovered. A **continuing misappropriation is a single claim**, so the clock runs once and does not restart with each use.

Protecting the secret during the case. A court may not order disclosure without first allowing a **submission under seal**. Sealed information may not be used for any other purpose, and disclosure in the action **does not waive** protection.

Whistleblower immunity covers three disclosures: in confidence to a government official or attorney **solely to report or investigate a suspected violation of law**; in a **sealed court filing**; and by a person bringing a **retaliation suit**, under seal.

Notice requirement. Employers must state this immunity in agreements with employees, contractors and consultants made **after 11 May 2016**, or cross refer to a policy document. **Failing to do so does not bar the claim. It bars only exemplary damages and attorney fees** against that employee.

RICO. Sections 1831 and 1832 are now **predicate acts** under Section 1961(1). RICO's power is its **conspiracy provision**, which ties apparently unrelated crimes with a common objective into a **pattern of racketeering**, carries heavier penalties, allows punishment for both the underlying crimes and the RICO violation, and gives a **private damages action**.

Section 337, Tariff Act 1930, at 19 U.S.C. 1337, is a separate route. The International Trade Commission may **bar imports** of products made using misappropriated secrets that harm United States industry, **even where the misappropriation happened abroad**.

The practical heart of the subject. Litigants once used discovery to work out what their secrets were. That is no longer acceptable. The starting and ending point is the **IT analysis: what is it that is alleged to be the trade secret?**

7.5 United States cases

United States v Lange, 312 F.3d 263 (Seventh Circuit, 2002)

Facts. RAPCO made aircraft parts. Lange, a disgruntled former employee, offered to sell its secret manufacturing processes to third parties. RAPCO told the Federal Bureau of Investigation, which set up a sting in which Lange negotiated with an undercover agent for a copy of the data.

Held. Convicted under the Economic Espionage Act and sentenced to **thirty months** in prison.

Reasoning. The manufacturing processes met the statutory definition of a trade secret, and Lange knowingly tried to convert them for the economic benefit of another. Nothing more was needed.

Principle. The Act is not confined to foreign espionage. It works in **ordinary commercial theft**, and a victim company can bring in prosecutors to protect itself.

United States v Aleynikov, 676 F.3d 71 (Second Circuit, 2012)

Facts. Aleynikov, a programmer at Goldman Sachs, copied the source code of the firm's **high frequency trading system** on his last day and took it to a new employer. He was prosecuted under the **National Stolen Property Act** and the **Economic Espionage Act**.

Held. Conviction **reversed**, and the indictment held legally insufficient.

Reasoning. Under the National Stolen Property Act the code was **not goods, wares or merchandise**, because it was intangible. Under the Economic Espionage Act as it then stood, the secret had to relate to a product **produced for or placed in** commerce; Goldman used the trading system **internally and never sold or licensed it**, so it fell outside the words of the statute. The court decided on the **text**, not on how serious the conduct was.

Principle. Information does not fit easily into **property based crimes**. The decision produced the **Clarification Act of 2012**, which widened the wording to a product or service **used in** commerce.

This is the American version of India's problem: **theft requires the taking of movable property**, and information copied but left in place is neither clearly taken nor clearly property. Use the two together.

Epic Systems Corporation v Tata Consultancy Services, 980 F.3d 1117 (Seventh Circuit, 2020)

Facts. Epic makes healthcare software. A customer shared by both companies gave Tata access to Epic's user web portal **for the limited purpose of testing** at that customer's installation. Tata employees used that access to download large volumes of Epic's confidential documentation, and used it in building a competing product.

Held. Liability established. The jury award was very large and was reduced on review; the figures differ between sources, so state them carefully.

Reasoning. Permission to enter the portal was **limited by its purpose**. Using the same credentials for a different purpose was unauthorised, and the scale of the download showed the use was not incidental.

Principle. **Access granted for one purpose does not authorise use for another.** The leading case on outsourcing risk: the access that makes the service possible is the access that creates the exposure.

TianRui Group Co Ltd v International Trade Commission, 661 F.3d 1322 (Federal Circuit, 2011)

Facts. A Chinese manufacturer obtained a United States company's **cast steel railway wheel process** through former employees of the Chinese licensee, then made wheels using it and exported them into the United States.

Held. The International Trade Commission had power under **Section 337 of the Tariff Act** to bar the imports.

Reasoning. The unfair act that Section 337 regulates is the **importation**, which takes place in the United States. The misappropriation abroad is only the fact that makes the importation unfair, so there was no impermissible extraterritorial application.

Principle. A trade secret owner can enforce **at the border** against goods made abroad with a stolen secret.

8. Inevitable disclosure

The doctrine. An employee may be restrained by showing that his new duties will **inevitably** make him rely on the former employer's secrets, even if he does not intend to. It is **not a separate cause of action**. It is a way of proving the **threatened** misappropriation that the Uniform Act already allows to be enjoined.

It is traced to ***Eastman Kodak Co v Powers Film Products, Inc*** (1919). At first it applied only to technical employees. Courts later extended it to employees holding **financial, manufacturing, production and marketing** information.

PepsiCo, Inc v Redmond, 54 F.3d 1262 (Seventh Circuit, 1995)

Facts. William Redmond Junior was in upper management at PepsiCo, General Manager of the California business unit. He knew the **1995 Annual Operating Plan** and the pricing, distribution and marketing strategy for the **All Sport** drink. He had signed a **confidentiality agreement but no non compete**. He secretly negotiated with **Quaker Oats**, which owned Gatorade and Snapple, PepsiCo's direct competitors, and accepted the post of Vice President, Field Operations.

Held. Preliminary injunction **affirmed**, temporarily stopping him from taking up the new job.

Reasoning. What Redmond held was **not general skill and knowledge** but **particularised plans and processes** that gave PepsiCo an advantage. He could not set strategy for Gatorade and Snapple without drawing on what he knew of PepsiCo's plans for the competing products. Illinois law allows an injunction against **inevitable** as well as actual disclosure.

Principle. Threatened misappropriation may be proved by showing inevitable reliance, **but taking a similar job at a competitor is not by itself enough**. This case set the standard, and it did so in a **non technical field**.

8.1 A temporary injunction requires

1. **Likelihood of success** at trial, analysed on the trade secret case;
2. **potential irreparable injury**, though courts differ on whether it is presumed once inevitable disclosure is shown;

3. **a balance of the equities**, since the order comes before trial and hurts one party; and
4. **the public interest**, because stopping a skilled person from working carries economic and social costs.

8.2 Is it the same as threatened misappropriation?

1. **Barilla America, Inc v Wright**. Inevitable disclosure targets disclosure **despite the employee's best intentions**. Threatened misappropriation targets disclosure **based on his intentions**.
2. **Del Monte Fresh Produce Co v Dole Food Co**. They are **separate theories**. The Uniform Act gives two types of misappropriation, actual and threatened; some courts derived a **third**, inevitable disclosure. The real difference is the **level of proof**: inevitable disclosure needs **a real and present danger of disclosure**, threatened misappropriation needs **proof beyond inevitability**.
3. **Whyte v Schlage Lock Co**. The doctrine **cannot substitute for proving actual or threatened misappropriation**.
4. **Central Valley General Hospital v Smith**. California confirmed this. Inevitable disclosure is an **alternative** to that proof, and **rejecting the doctrine does not reject threatened misappropriation**.

8.3 The eight factors courts weigh

The employer must first prove **the secret exists and that the employee held it**. Then the court weighs the existence of a **restrictive covenant**; the **degree of competition** between the employers; **bad faith** by the employee or the new employer; the **type and extent of knowledge**; **policy considerations**; the **new employer's safeguards**; the **similarity of the two positions**; and whether the secrets are **highly valuable to both**.

A restrictive covenant simply **adds a breach of contract claim**. It is either a **confidentiality agreement**, a promise to keep information secret, or a **non compete**, which stops the employee working for a competitor for a period in a defined area.

8.4 Two later cases under the 2016 Act

Molon Motor and Coil Corporation v Nidec Motor Corporation, No. 1:2016cv03545 (N.D. Ill. 2017). A maker of bespoke motors sued a competitor after an employee who had downloaded its designs and technical data joined that competitor. The defendant argued the Act did not apply because the download predated May 2016. The court **adopted the doctrine** and asked whether the inference of inevitable disclosure **extended to continued use after the effective date**. Because a motor design and its quality control data **keep their value for years**, continued use after May 2016 was plausible.

Santander Securities v Gamche, 2017 WL 1208066 (E.D. Penn. 2017): a financial advisor left for a competitor **taking his client list**. **Brand Energy v Irex**: former employees took **target bids and customer information**, joined a rival and poached business; the Act applies to **continuing misappropriation after the effective date**.

Where the doctrine stands. Accepted in **Illinois** after **PepsiCo**. **Rejected in California**, and treated with hesitation in Massachusetts and New York. **Declined federally**: under **18 U.S.C. 1836(b)(3)(A)** an injunction may not stop a person entering employment, and conditions must rest on **evidence of threatened misappropriation, not merely on what the person knows**. **Rejected in India**, which needs actual or specifically threatened misuse. *The United States invented it, the federal statute declined it, and India never accepted it.*

9. European Union

Why a Directive was needed. Protection was uneven. Some Member States had **no definition** at all. Remedies were inconsistent, and cease and desist orders were often unavailable against **third parties who were not competitors**. States differed on the **good faith acquirer** who later learns the truth, on whether **goods could be destroyed**, and on how to calculate **damages** for an intangible asset with no market value.

Directive (EU) 2016/943, adopted **8 June 2016**, compliance due **9 June 2018**. Being a directive it needs national transposition and sets a **floor, not a ceiling**. It harmonises the definition and the forms of misappropriation, guarantees that **reverse engineering and parallel innovation stay lawful**, and harmonises **civil** remedies only: stopping use and disclosure, **removing goods from the market**, and compensation. **It creates no criminal sanctions**.

Article 2(1), definition. Information that is **secret**, meaning not, **as a body or in the precise configuration and assembly of its components**, generally known or readily accessible in the relevant circles; that has **commercial value because it is secret**; and that is subject to **reasonable steps by the person lawfully in control**. **Article 2(4)** defines **infringing goods** as goods whose design, characteristics, functioning, production or marketing **significantly benefits** from an unlawfully used secret.

Two drafting points matter. The words about **configuration and assembly** expressly protect **compilations** whose parts are public. **Person lawfully in control**, rather than owner, suits **licensees** better than the American wording.

Article 3, lawful acquisition:

1. **independent discovery or creation**;
2. **observation, study, disassembly or testing** of a product lawfully available, the **reverse engineering safe harbour**;
3. exercise of **workers' rights to information and consultation**, which has **no United States equivalent**;
4. any other practice conforming to **honest commercial practices**.

Article 4, unlawful acts:

1. **Acquisition** by unauthorised access to, appropriation of or copying of material containing the secret or **from which it can be deduced**, or by conduct contrary to honest commercial practices.
2. **Use or disclosure** by a person who acquired it unlawfully, or breached a confidentiality agreement, or breached a duty to limit use.
3. **Third party liability** where the person **knew or ought to have known** the secret came from someone acting unlawfully.
4. **Infringing goods**: production, offering, placing on the market, importation, export or storage.

Article 4(5) is the biggest difference from United States law. It creates something close to a **product based right**, reaching **downstream traders and importers**. The Defend Trade Secrets Act has no equivalent.

Article 5, exceptions. Freedom of expression including media pluralism; revealing misconduct or illegality in the general public interest; disclosure by workers to their representatives; and protecting **a legitimate interest recognised by law**, which is criticised as too broad. The **plaintiff** must show by **clear and convincing evidence** that a disclosure was dishonest or without public interest. On free expression the test is not whether the information interests the public but **whether it is in the public interest that the duty of confidence be broken**: *HRH Prince of Wales v Associated Newspapers*, [2006] EWCA Civ 1776.

Four changes the Directive made. Action against **third parties who ought to have known**, which reaches the market in stolen secrets including those taken by cyber attack. Protection against **infringing goods**, important where goods are imported from weaker jurisdictions. **Litigation protection** through confidentiality clubs, private hearings and redacted judgments. And **interim measures** in every Member State, including preliminary injunctions and seizure.

Comparison with the United States. The definitions reach the same place by different drafting. The American definition alone has the **accident or mistake** limb; the European alone has **infringing goods**. On litigation, the Directive insists that **at least one representative of every party sees all the evidence**, while American courts may confine access to **attorneys of record and approved experts**. Whistleblower protection is **wider in Europe**. **Criminal liability exists only in the United States**.

10. India

There is **no trade secret statute in India**. Protection comes from **contract, copyright, equity, the common law action for breach of confidence**, and parts of the Information Technology Act, 2000.

Three weaknesses follow: protection is **weak where there is no contract; damages are hard to obtain**; and there are **no procedural safeguards** against the secret being disclosed during the litigation itself.

Is India in breach of TRIPS? No, on the orthodox view, because Article 39 requires only the **possibility** of preventing misuse. The **1989 GATT discussion paper on India** supports this: trade secrets **are not intellectual property**, because intellectual property rests on **disclosure and registration** while secrets rest on **confidentiality**, so they belong to **contract and civil law**. **Against this**, the Law Commission accepted that the route is too uncertain to be **effective** protection. **Always give both sides.**

10.1 Section 27, Indian Contract Act, 1872

Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind is, to that extent, void.

There is **one exception only**. **Exception 1** saves an agreement by which a person who **sells the goodwill of a business** promises not to carry on a similar business within specified local limits, provided the court finds the limits reasonable.

Two features give the section its force. Voidness is the **default position, not a presumption**. And there is **no qualification**, so it applies **whatever the duration, the geography or the money paid**. Against the employer's interest stands the employee's **right to livelihood under Article 21** and **right to practise any profession under Article 19(1)(g)**.

The rule that decides almost every Indian case. A covenant operating **during** the contract is **valid**. A covenant operating **after** termination is **void**. A **confidentiality** obligation is valid after termination and lasts **until the information becomes public**. So in India, **draft the confidentiality clause, not the non compete**.

Mitchel v Reynolds, (1711) 1 P Wms 181; 24 ER 347, Court of Queen's Bench, Lord Macclesfield

Facts. Reynolds leased Mitchel a **bakehouse in Liquorpond Street, in the parish of St Andrew Holborn, London**, for five years, and gave a bond of fifty pounds promising not to bake in that parish during the term. He started baking again, and Mitchel sued on the bond.

Held. The bond was **enforced**.

Reasoning. All restraints of trade are **presumed bad, but the presumption can be rebutted**. A **general restraint**, unlimited in space, would always be bad. This bond was limited to **one parish and five years** and was supported by consideration, so it was reasonable.

Principle. The distinction between a **general restraint**, void, and a **particular restraint**, which may be valid. This is the reasonableness idea that **Section 27 deliberately rejected** for restraints after termination.

Niranjan Shankar Golikari v Century Spinning and Manufacturing Co Ltd, AIR 1967 SC 1098

Facts. Golikari joined Century Rayon at Kalyan as a **Shift Supervisor** on a five year contract. The contract barred him from similar employment elsewhere **during the term** and required secrecy about the **tyre cord yarn** process, which came from a foreign collaborator. After about **nine months of training** he left and joined a competitor at Kotah for higher pay.

Held. The injunction was **upheld**.

Reasoning. The employer had a real interest in protecting confidential technical knowledge received from its collaborator. The restraint was limited in **time, area and type of employment**, so it was not oppressive. The Court said expressly that a restraint operating **during** the contract is judged differently from one operating **after** it.

Principle. A negative covenant **during the term** is generally **not restraint of trade** and falls outside Section 27, **unless it is unconscionable, excessively harsh, unreasonable or one sided**.

Gujarat Bottling Co Ltd v Coca Cola Co, (1995) 5 SCC 545

Facts. A bottling and franchise agreement stopped Gujarat Bottling from manufacturing or dealing in competing products **during the term** of the agreement.

Held. Not a restraint of trade. The clause was enforceable.

Reasoning. While the agreement is running, the parties have simply chosen to deal **exclusively with each other**, which **promotes trade rather than restraining it**. Section 27 is aimed at restraints that bite **after** an agreement ends.

Principle. The same rule as *Golikari*, but in a **commercial** rather than an employment setting. Cite both together to show the rule is not limited to employees.

Superintendence Company of India (P) Ltd v Krishan Murgai, AIR 1980 SC 1717; (1981) 2 SCC 246

Facts. Murgai was **Branch Manager at New Delhi**. Clause 10 of his service agreement barred him for **two years after leaving** from serving or engaging in any competing business. The company **terminated** his services in December 1978, and he set up his own competing business under a similar name. This was an appeal against refusal of a **temporary injunction**, the suit still being pending.

Held. Appeal dismissed and the injunction refused, **but the three judges were divided in their reasoning**.

Reasoning. The majority, **Tulzapurkar and Untwalia JJ**, read clause 10 as applying only where the employee **left of his own choice**, not where the employer **dismissed** him. Since Murgai was terminated, the clause simply did not apply, and Section 27 did not have to be decided. **Sen J**, in a separate opinion, went to Section 27 directly and held that a post service restrictive covenant is **void whatever its reasonableness**, rejecting the English partial restraint doctrine. The Court also noted the **inherent inequity in bargaining power** between employer and employee, so much so that the employee may give no thought to the contract at appointment, and said the restraint must not be **greater than necessary** to protect the employer nor **unduly harsh** on the employee.

Principle. Post service covenants are void under Section 27, but that proposition comes from **Sen J's separate opinion**, not from the majority. A practical lesson also follows: **if a covenant bites only when the employee resigns, an employer who dismisses him cannot use it**.

Percept D'Mark (India) Pvt Ltd v Zaheer Khan, (2006) 4 SCC 227

Facts. The cricketer had a promotion agreement with Percept. **Clause 31(b)** gave Percept a **right of first refusal**: after the agreement ended, he had to offer Percept the chance to match any third party offer. On expiry he signed with a different agency. Percept sought interim relief under **Section 9 of the Arbitration and Conciliation Act, 1996**.

Held. Relief refused.

Reasoning. Two strands. First, clause 31(b) restricted his **future** freedom to deal with people of his choice **beyond the term**, so it was hit by Section 27; restraint of trade does not apply during a contract but does apply once it ends. Second, the Court **also refused relief in its discretion**, because money could compensate Percept and an injunction would in effect be **specific performance of a personal service contract** where trust had broken down.

Principle. The rule against post termination restraints extends **beyond employment** to commercial and service relationships.

Varun Tyagi v Daffodil Software Private Limited, 2025:DHC:5015; 2025 SCC OnLine Del 4589

Facts. Tyagi, an information technology engineer, was transferred to Daffodil in January 2022 under an agreement whose **clause 2.16** barred him for **three years after leaving** from engaging with any **Business Associate** of Daffodil. Daffodil had been engaged by **Digital India Corporation** to supply developers for the Government's **POSHAN Tracker** project. Tyagi worked on that project, resigned, served his notice period, and then joined **Digital India Corporation itself**. The trial court restrained him from working there.

Held. Appeal allowed. The injunction was **quashed**.

Reasoning. Any term restricting an employee's right to be employed after termination is **void under Section 27**, and the goodwill exception did not apply. Once a clause falls inside Section 27, arguing that the restraint was narrow or reasonable is **irrelevant**. Digital India Corporation clearly fell within Business Associate, so even this limited restraint was void. On confidentiality, the letters of intent showed the **intellectual property in the POSHAN Tracker project belonged to Digital India Corporation, not to Daffodil**, so the fear of disclosure was misconceived. There was no real evidence of misuse, any breach could be paid for in damages, and the balance of convenience favoured Tyagi.

Principle. Specific misuse must be proved. A general fear of competition is not enough, and a court **will not injunct merely because an employee knows things that could theoretically help a competitor**.

Three shorter cases complete this line:

1. **V F S Global Services Ltd v Suprit Roy**, 2008 (2) Bom CR 446. A **garden leave** clause paid the employee for three months after termination while keeping him out of work. **Held** it does not renew the employment contract, so it operates after termination and is in **restraint of trade**, hit by Section 27.
2. **Desiccant Rotors International Pvt Ltd v Bappaditya Sarkar**, 2009 SCC OnLine Del 1926. Where the employer's wish to avoid competition clashes with the employee's wish to work, **the right of livelihood prevails**. But **non solicitation of customers and suppliers, and protection of genuinely confidential information, may still be enforced**.
3. **Indus Power Tech Inc v Echjay Industries**, 2024 SCC OnLine Bom 3349. A non compete may validly operate **during** the term but **not after** termination. Relied on in **Varun Tyagi**.

10.2 Equity and breach of confidence

A duty of confidence can arise **without any contract**, because equity fills the gap left by legislation and contract. It gives **no property right, but it binds the conscience** of the person who receives the secret.

Three elements, and a fourth in one situation:

1. **confidential information**;
2. **disclosed in circumstances of confidence**;
3. **actual or threatened unauthorised disclosure**;
4. for **Government information**, a fourth element, that disclosure would be **against the public interest**.

Equity gives two things contract cannot. It **prevents unjust enrichment**, through an **account of profits** and a **constructive trust** where a former employee builds a business on a stolen formula. And it **reaches people who signed nothing**.

Defences. Public knowledge, including that **reverse engineering does not breach an equitable obligation of confidence**; a former employee legitimately using **his own skill**; and **public interest**, weighed against the interest in keeping confidence.

Saltman Engineering Co Ltd v Campbell Engineering Co Ltd, (1948) 65 RPC 203

Facts. The plaintiffs owned drawings of **tools for making leather punches**. They gave the drawings to the defendants, who were supposed to manufacture the tools under a contract. The defendants instead kept the tools, used them for themselves and made leather punches on their own account.

Held. Breach of confidence. Getting the manufacturing information from the drawings, or from tools made using them, was an infringement of the plaintiffs' rights.

Reasoning. The obligation rests on a **broad principle of equity**, that a person who receives information in confidence **shall not take unfair advantage of it**. It does **not depend on any contract, express or implied**.

The Saltman test of confidentiality, quoted throughout the Indian cases. The information **must not be public property or public knowledge**. A document can be confidential even though it was made from

materials available to anybody. What makes it confidential is that the maker used his brain and produced a result that only someone going through the same process could produce.

Coco v A N Clark (Engineers) Ltd, [1969] RPC 41, decided 1968, Megarry J

Facts. Coco designed a **moped engine** and shared his drawings and information with Clark for a proposed joint venture. The venture collapsed, and Clark then marketed a moped of its own.

Held. The interlocutory injunction was **refused**, because there was no strong prima facie case and Coco's engine was not in production. The defendants undertook to pay a royalty into a joint account.

Reasoning. Megarry J set out **three requirements** for a claim in breach of confidence: the information must have the **necessary quality of confidence**; it must have been **imparted in circumstances importing an obligation of confidence**; and there must be an **unauthorised use of it to the detriment** of the person who communicated it. He added that where information of commercial value is given on a **business like basis with a common object in mind**, such as a joint venture, **the recipient carries a heavy burden** if he tries to deny that he was bound.

Principle. These three requirements are the standard test, and Indian courts apply them.

Faccenda Chicken Ltd v Fowler, [1987] Ch 117

Facts. A **sales manager** learned his employer's **customer lists and pricing policy**. He resigned and set up a rival company, and the employer sought an injunction.

Held. **No breach of confidence** on the facts.

Reasoning. Information an employee acquires falls into **three categories**: information that is **public or trivial**; **confidential information**, which he may not use during employment but **may use afterwards**, provided he did not **memorise it deliberately or take it away**; and **trade secrets**, which he may **never** use after employment. What Fowler carried was in the second category, and he had acted with **no bad faith** and no dishonesty; he was simply using what he knew to run a business.

Principle. The **skill against secret** line. Only a genuine trade secret survives the end of employment.

Attorney General v Guardian Newspapers Ltd

Facts. A former MI5 agent **moved to Tasmania**, beyond the reach of United Kingdom law, and wrote a book revealing Secret Service material. Extracts were published, the information was leaking fast, and an injunction against further publication was not practically available.

Held and reasoning. A **duty of confidence arises when confidential information comes to a person in circumstances where he has notice, or is taken to have agreed, that it is confidential**, so that it would be just to stop him passing it on.

Principle. The duty is not limited to the original recipient. **It binds third parties.**

10.3 The springboard doctrine

A person who obtains information in confidence may not use it as a springboard for activities detrimental to the person who confided it, and it remains a springboard even after all the features have been published or could be found by public inspection.

The obligation **survives publication**, which normally destroys a secret. So this is a doctrine about **unfair advantage**, not about secrecy. Its source is **Terrapin Ltd v Builders' Supply Co (Hayes) Ltd**, [1960] RPC 128, a decision of Roxburgh J. It has applied in India since **Brady** in 1987, and was restated by the Calcutta High Court in **Fairfest Media Ltd v Lte Group Plc** (2015).

John Richard Brady v Chemical Process Equipments P Ltd, AIR 1987 Delhi 372

Facts. Brady, an American mechanical engineer, invented a **fodder production unit** that could grow green fodder all year round. To have it made in India he approached the defendant for **specialised thermal panels**, and in the course of dealing he shared technical material, detailed know how, drawings and specifications. An arrangement for supply was set out, but the plaintiffs then found the defendant

could not actually supply the panels, so no order was placed. Later they discovered the defendant had built **its own fodder production unit**, substantially similar though inferior.

Held. Interim injunction **granted**, both for breach of confidence and on copyright in the technical drawings, since the defendant had made a three dimensional article from them.

Reasoning. Following *Saltman*, the court applied the **wider equitable jurisdiction**. Breach of confidence rests on the principle that a person who receives information in confidence **shall not take unfair advantage of it**, and it **does not depend on any contract**. The court also applied the **springboard doctrine**: the defendant could not use the plaintiffs' information as a springboard for activities harmful to them.

Principle. Two at once. A duty of confidence can arise **purely from the nature of the relationship**, with no signed agreement. And the **springboard doctrine applies in India**. This matters because it protects the common situation where **documentation was simply never done**.

Homag India Pvt Ltd v Ulfath Ali Khan and IMA AG Asia Pacific PTE Ltd, MANU/KA/1569/2012, Karnataka High Court

Facts. Homag's employee was bound by confidentiality and a one year non compete. He allegedly **emailed confidential customer information** to the competitor IMA and signed with IMA before resigning. The trial judge enjoined the employee but **refused any order against IMA**, because there was **no contract between Homag and IMA**.

Held. That was wrong. The **absence of a contract, and of its breach, does not mean there is no actionable right**.

Reasoning. Relying on *Saltman*, secrecy is protected either by the **principles of equity**, the court insisting on conscientious conduct, or by the common law action for breach of confidence. *Saltman* also identifies three situations: an employee who gets information in the normal course and **passes it on carelessly or deliberately**; an unauthorised person, such as a **new employer who incites** him to supply it; and a **licensee of know how** who breaks a condition of secrecy. On the documents, including the agreement between the employee and IMA, there was a prima facie case that IMA had used the information **as a springboard**.

Principle. Equity reaches beyond privity. Read with *Brady*: Brady says confidentiality does not need a contract, Homag says the remedy does not need privity. Together they let an employer reach both the employee and the new employer.

10.4 Skill against secret

This is the line that decides most Indian employment disputes.

1. **General skill and knowledge**, meaning technical know how, industry expertise and professional competence gained on the job, belongs to the **employee**. Courts will not restrict its use **whatever the agreement says**.
2. **A proprietary trade secret**, meaning specific formulae, client databases, pricing algorithms and technical blueprints unique to the employer and actively guarded, belongs to the **employer**.
3. **The danger zone** is an employer calling general familiarity a trade secret in order to block mobility. Courts have **firmly rejected** this as an impermissible restraint of trade.

10.5 What counts as a trade secret in India

Ambience India Pvt Ltd v Shri Naveen Jain (2005), Delhi High Court

Principle. A trade secret is **protected and confidential information acquired in the course of employment which should not reach others in the employer's interest**. But **routine day to day affairs of the employer, known to many and commonly known to others, are not trade secrets**.

American Express Bank Ltd v Ms Priya Puri, (2006) III LLJ 540 (Delhi)

Facts. Priya Puri headed **wealth management** at the bank. Her job was meeting customers and prospective clients, explaining what the bank offered and advising on investments, and she built close and partly personal relationships with them. She resigned and joined a competitor. The bank feared she knew

what each customer had invested, knew the bank's plans, and would take the same clients with her, and it claimed the **client list** was confidential information she had taken.

Held. The client list was **not a trade secret**. Injunction refused.

Reasoning. Four strands. The client data was largely **publicly available or known to the customer**, so it was not secret. Much of what she carried away was **her own skill**, and restraining that would hit her **right to livelihood**. An employer **cannot use confidentiality to create a monopoly over customers**, and the court rejected the argument that once a customer, always a customer. And **post termination restrictions are void under Section 27**. The competitor bank had also not been made a party, so customers could not be restrained indirectly.

Principle. Some information is **inseparable from a person's mind** and cannot be surgically removed when he changes jobs. A real fear that a former employee knows the customers and will approach them is **not enough**.

Priya Puri is India's answer to inevitable disclosure. Pair it with *Varun Tyagi*, which says the same thing nineteen years later.

Bombay Dyeing Manufacturing Company v Mehar Karan Singh, Bombay High Court

Held and reasoning. In the **absence of a statutory definition**, a court must decide whether something is a trade secret by weighing **six parameters**: how far the information is known **outside** the business; how far it is known **inside**, that is by the employee; the **precautions taken** by the holder; the **savings and value** to the holder as against a competitor; the **effort or money spent** obtaining and developing it; and the **time and expense others would need** to acquire and duplicate it.

These are, in substance, the **American six factor test** from the Restatement of Torts, 1939. **An Indian court with no statute arrived at the same six factors**. That is a strong comparative point.

Tata Motors v State of West Bengal

Facts. Disclosure was sought under the **Right to Information Act** of Tata's agreement with the Government of West Bengal for production of the **Nano**. Tata argued the information was commercially sensitive and so a trade secret.

Held. The agreement had to be **disclosed**.

Reasoning. The court adopted the **Black's Dictionary** definition of a trade secret, but held that the agreement **involved finances, which is public money**, so the greater public interest required disclosure.

Principle. Trade secrecy yields to the public interest where public funds are involved.

10.6 Client lists and solicitation

Poaching clients is the most commercially charged dispute in Indian employment law. The courts take a middle position:

1. **Protectable.** A **systematically compiled client database**, with purchasing histories, preference data and contact hierarchies, built at company expense and kept confidential, can be a trade secret.
2. **Not protectable.** Where the relationship rests on **personal rapport, trust and a reputation the employee built himself**, he may keep and service it after leaving.
3. **The trend.** Courts stop unfair use of proprietary client data but refuse to let an employer **monopolise an employee's whole professional network**.

The question is never whether the information concerns clients. **It is whether the employer built the information or merely knows the people**. That reconciles *Priya Puri* with the cases where a compiled database succeeded.

Two cases complete the picture:

1. **Hi Tech Systems and Services Ltd v Suprabhat Ray** (2015). The former employees were **soliciting the plaintiff's customers using confidential information** acquired while working there. The court enjoined them from **orchestrating any breach of the plaintiff's existing contracts with third parties**, because breach of an existing contract entitles the plaintiff to **equitable relief**.
2. **Embee Software Pvt Ltd v Samir Kumar Shaw**, Calcutta High Court. A **non solicitation clause is not restraint of trade** and so is **not hit by Section 27**. Further, an ex employee **may not solicit so as to damage the ex employer's business even without such a clause**.

10.7 The copyright interface

Databases are literary works under **Section 2(o)**. In theory copyright protects the **expression** in a compilation while trade secret law protects the **underlying data**, which makes secrecy the stronger protection. In practice the two converge, because copyright in business directories often extends to the data itself.

Burlington Home Shopping Pvt Ltd v Rajnish Chibber, 61 (1995) DLT 6, Delhi High Court

Facts. A mail order service company sued its former employee, seeking to restrain breach of copyright and of confidentiality in its customer database.

Held. Interim injunction granted.

Reasoning. Although the sources of the addresses were commonly available, **a compilation of addresses developed by devoting time, money, labour and skill is a literary work** in which the author has copyright. On the evidence the defendant's database was **substantially a copy** of the plaintiff's.

Principle. A customer database can be protected by **copyright**, independently of any trade secret claim.

Practical point. Because India has no trade secret statute, the **copyright route is often easier**. It gives a statutory cause of action and statutory remedies, and it **does not require proof of reasonable steps**. Plead copyright, breach of confidence and breach of contract in the alternative.

10.8 Pleading and proving the secret

Navigators Logistics Ltd v Kashif Qureshi, 2018 SCC OnLine Del 11321, Delhi High Court

Facts. A freight forwarding company sued twelve defendants. Eight were former employees who resigned in May 2016 and were alleged, on the basis of **recovered Skype chats**, to have conspired to divert business to a competitor, which was also sued. The claims were copyright in customer databases and airway bill templates, breach of confidentiality, and breach of a one year non compete. The defendants applied to **reject the plaint under Order VII Rule 11**.

Held. Plaint **rejected** and the suit dismissed.

Reasoning. Four strands. On **specificity**, vague and high sounding pleadings that never identify the actual confidential information cannot support an injunction, because **an injunction that does not specify the information would be unenforceable**. On **customer lists**, a list of customers with contact details easily available publicly is not a trade secret unless the secrecy itself has economic value. On **copyright**, the claim failed because the plaintiff **never disclosed the author**, a company being incapable of authorship, and never pleaded the **skill and judgment** required after **Eastern Book Company v D B Modak**. On **Section 27**, the one year non compete was void.

Principle. The claimant must **delineate with precision what the secret is, why it qualifies, and how it was breached**. A Division Bench gave *partial relief against the rejection on 20 November 2024*, so mention the appeal.

Ritika Pvt Ltd v Biba Apparels Pvt Ltd, Delhi High Court, DE 0784 2016

Facts. A suit for infringement of the plaintiff's **clothing designs**, with a claim also framed around trade secrets.

Held and reasoning. If an injunction is sought over trade secrets, **the specific trade secrets must be identified, and the plaintiff must show how it owns them**. A **general order about an unspecified trade secret cannot be passed**. The copyright claim also failed, because **Section 15(2)** of the Copyright

Act provides that once a drawing, sketch or design has been used to make **more than fifty garments**, no copyright subsists in it.

Principle. Identification is a threshold requirement, and **Section 15(2)** is a **hard limit** on design based copyright claims.

Genetics India Pvt Ltd v Shailendra Shiv, 2011 (47) PTC 494

Held and reasoning. Pleadings about the nature and quality of the information said to be confidential are crucial, and without them there is no question of confidentiality. Beyond pleading it, the plaintiff must **prove that reasonable efforts were made** to keep it confidential, or the information risks losing its confidential quality. Further, if the information is **neither unique nor novel**, and the database merely documents material that is freely available or widely practised, there is no confidentiality. **Putting information into a database does not make it confidential; it must also have exclusivity.**

A constitutional limit on over claiming. If a court accepted, **without any statutory regime**, a blanket claim of confidentiality over what is plainly part of the public's material resources, it **would overstep the Constitution**, namely the right to occupation under **Article 19(1)(g)** and to livelihood under **Article 21**.

10.9 Confidence protects ideas that copyright cannot

Zee Telefilms Ltd v Sundial Communications Pvt Ltd, 2003 (5) Bom CR 404, Bombay High Court, Division Bench

Facts. Sundial developed a concept for a television serial about **Lord Krishna as a child**, with detailed concept notes, character sketches and plots, registered it with the writers' and producers' association, and disclosed it in confidence to Zee. Negotiations lapsed with no deal. Zee then produced a **strikingly similar serial**.

Held. Relief granted for breach of confidence.

Reasoning. The **law of confidence is broader than and distinct from copyright**. There can be **no copyright in an idea or in information**, but information imparted in confidence is protectable in its own right. A claimant must **identify the information**, show it was **handed over in confidence**, show it **could be treated as confidential**, and show it was **used or threatened to be used without licence**. On the facts the similarities were too striking to be coincidence.

Principle. Confidence protects the **idea or concept** that copyright cannot reach, provided it was communicated in confidence.

Anil Gupta v Kunal Dasgupta, 97 (2002) DLT 257

Facts. The plaintiff conceived the idea of **Swayamvar**, a reality television show about match making, and shared a **concept note** with the defendants. He later read in a newspaper that they were planning a big budget reality matchmaking show using his concept.

Held. Injunction granted.

Reasoning. The themes and plots existed in the public domain, but the concept the plaintiff developed **was the result of work done by him on that material**, and **what made it confidential was that he used his brain and produced a unique result** from it. That mirrors the **Saltman** test exactly.

Principle. Secrecy should be maintained through **policy, documentation and non disclosure agreements**. Trade secrets are treated as the owner's property, so **no rule of public interest invalidates an agreement preventing their transfer against his will**.

10.10 Criminal law and the Information Technology Act

There is no offence of trade secret misappropriation in India. Prosecutions use general provisions, namely theft, criminal breach of trust and cheating, formerly under the Indian Penal Code, 1860 and now the **Bharatiya Nyaya Sanhita, 2023**.

The obstacle is conceptual. **Theft requires dishonest taking of movable property**. Information that is copied but left in place is neither clearly taken nor clearly movable property. This is the Indian form of the problem in **Aleynikov**.

The Information Technology Act provisions:

1. **Section 72** binds only those who obtained access **under statutory powers**, principally officials, and covers **electronic records** only. It is **not** a remedy against a private employee who steals data.
2. **Section 43A** requires compensation from a body corporate handling **sensitive personal data** that is negligent in its security practices.
3. **Section 72A** penalises disclosure of **personal information** by a person providing services under a lawful contract.
4. **Section 66 read with Section 43** covers **unauthorised access, downloading and copying**. In practice this is the provision that actually helps.

The Information Technology Act is a **data security and privacy statute, not a trade secret statute**. It helps where there was unauthorised computer access, but it **does not define or protect a trade secret as such**.

10.11 Remedies and the Anton Piller order

Civil remedies. Injunction, including ex parte ad interim; damages for breach of contract or an account of profits in equity; delivery up or destruction of documents; a declaration; appointment of a **local commissioner** for search, seizure and inventory; and **John Doe or Ashok Kumar orders** where the wrongdoer is unidentified.

Anton Piller KG v Manufacturing Processes Ltd, [1976] Ch 55, Court of Appeal

What it is. An **ex parte civil search order**, now called a search order. It lets the plaintiff enter the defendant's premises and seize evidence **before the defendant is notified**, so that evidence cannot be destroyed.

The three conditions, laid down by Ormrod LJ: an **extremely strong prima facie case**; **very serious actual or potential damage** to the applicant; and **clear evidence that the defendants hold incriminating material**, with a **real possibility they will destroy it** before an application on notice can be made.

Reasoning. Lord Denning stressed that the order works **in personam**. It compels the defendant to **give permission** to enter; it does not authorise forcible entry. It lies **at the extremity of the court's powers** and must be used with circumspection.

Later safeguards. **Columbia Picture Industries v Robinson**, [1987] Ch 38, and **Universal Thermosensors Ltd v Hibben**, [1992] 1 WLR 840: execution in office hours, a **supervising solicitor**, and a **list of items prepared before removal**.

The danger. The defendant has **no notice and no hearing**. That asymmetry lets a competitor disrupt operations, reach privileged communications and cause reputational harm **before a single substantive issue is argued**. India has no statutory safeguards for this.

Best comparative point on remedies. **Three judge made** Anton Piller conditions in India, against **eight codified** conditions plus a seven day hearing, a security requirement and a wrongful seizure remedy under the Defend Trade Secrets Act. **India has discretion; the United States has a checklist.**

10.12 Three judicial discrepancies

1. **The specificity standard.** **Navigators Logistics** demands precise identification, yet other benches grant injunctions on broadly described confidential information. Outcomes are unpredictable and no principled advice can be given before litigation.
2. **The Anton Piller threshold.** Some courts act on thin affidavit evidence, others demand detailed proof of urgency, harm and the futility of notice. There is **no codified standard**.
3. **The duration of equity.** Some courts treat the obligation as **perpetual** while the information stays secret; others impose a **reasonable temporal limit**.

10.13 Law Commission Report 289 and the 2024 Bill

The question was referred to the Law Commission on **10 October 2017**. The **22nd Law Commission**, chaired by **Justice Ritu Raj Awasthi**, submitted **Report No 289, Trade Secrets and Economic Espionage**, on **5 March 2024**. It recommends a standalone **sui generis** statute and annexes a draft **Protection of Trade Secrets Bill, 2024**, of **thirteen clauses in four chapters**.

As of early 2026 no Bill has been introduced in Parliament. Treat it as a recommendation, not pending legislation.

Key clauses:

1. **Definition** following TRIPS Article 39, with no proprietary or monopoly conception.
2. **Section 2(f)**. An employee's **skills and experience acquired in the normal course are not a trade secret**. This codifies the skill against secret line.
3. **A statutory cause of action**, so a claimant no longer depends on contract or equity alone.
4. **Misappropriation defined** for the first time in Indian law: unauthorised **acquisition** by theft, bribery or misrepresentation; unauthorised **use** of a secret obtained improperly; and unauthorised **disclosure** in breach of a duty of confidence. It extends to **third party recipients who knew or had reason to know**.
5. **Reverse engineering and independent discovery are expressly protected**, so protection does not become a monopoly on knowledge.
6. **Section 5**. A **whistleblower and public interest defence**.
7. **Section 6. Compulsory licensing** in a national emergency or extreme urgency involving substantial public interest, such as public health. Disclosure is **to a licensee under confidentiality, not to the public**, and the licence ends when the emergency does.
8. **Section 7** gives injunction, damages or account of profits, and destruction of infringing material. **Section 8** gives jurisdiction to the **Commercial Courts**. **Section 9** protects confidentiality during the proceedings.
9. **Section 10**. A remedy for **groundless threats**, which protects employees whose mobility is curtailed in the name of trade secrecy. **Section 13** is a savings clause.
10. **No registry**. A mandatory registry was considered and rejected because of the **risk of leakage**. The Bill gives **civil remedies only**.

Four gaps. Section 27 is **untouched**, so post termination voidness remains. There are **no criminal sanctions**. There is **no Anton Piller framework**. And the **specificity standard** from *Navigators Logistics* is unresolved.

Policy. The **National IP Rights Policy** of 12 May 2016 identified trade secrets as an area for study. At the **Trade Policy Forum** on 20 October 2016 India confirmed its **common law approach** and agreed to a toolkit for small and medium enterprises, a possible training module for judicial academies, and a further study of legal approaches.

11. Slide errors to avoid

The correct position is stated in the notes above. This is the list of what the class materials get wrong.

1. **Paris Convention**. One slide cites **Article 10** for unfair competition. It is **Article 10bis**; Article 10 covers false indications of source.
2. **Uniform Trade Secrets Act adoption**. One slide says **all the states**; another says **48 states as of November 2020**; verification gives **49**, with **New York the holdout**. Quote the figure with its date.
3. **Section 27 exception**. One slide calls it a narrow **partnership** exception. The only exception is the **sale of goodwill**. Partnership exceptions are in the **Indian Partnership Act, 1932**, Sections 11(2), 36(2), 54 and 55(3).

4. **Krishan Murgai**. One slide says the Court laid down a **reasonableness test** and calls it a **constitutional precedent**. The majority **construed the clause**, only **Sen J** applied Section 27, and the case turns on the **Contract Act**.
5. **Percept D'Mark**. Saying the covenants are **categorically void** overstates it. The decision was at the **interim relief stage** and rested substantially on **discretion** as well as Section 27.
6. **Varun Tyagi**. One slide says the court held that using confidentiality as a backdoor **contravenes the Constitution**. The judgment reasons **entirely on Section 27**.
7. **Zee Telefilms**. The sentence one slide puts in **quotation marks** could **not be verified** in the judgment. Paraphrase it instead.
8. **Coco v A N Clark**. One slide names the judge **Garry J**. It was **Megarry J**. Report **[1969] RPC 41**, decided 1968.
9. **Saltman**. Given as **[1963]** on one slide. It is **(1948) 65 RPC 203**.
10. **Mitchel v Reynolds**. One slide places the bakehouse in **Liverpool**. It was in **London**.
11. **Lalbhai Dalpatbhai**. Sometimes cited as **AIR 1996 Guj**. It is **AIR 1966 Guj 189**.
12. **M Sivasamy v Vestergaard Frandsen**. Do not use it for **Anton Piller safeguards**. The reported decision, 2009 SCC OnLine Del 2310, is about **discovery and sealed cover confidentiality**. The separate United Kingdom case, **Vestergaard v Bestnet**, [2013] UKSC 31, holds that a person who **neither acquired nor knew of the misuse** is not liable.
13. **Existence as a question of fact** is decided by a **jury** in the United States and by the **judge** in India.
14. **A trade secret is not a worldwide right**. Its factual existence travels because there is no registration, but **enforcement follows the law of the forum**.
15. **Do not cite** the Polish trade secret registry mentioned in a margin note. It could not be verified.

12. Numbers and dates

1. **Restatement of Torts 1939**, Section 757 comment b (six factors), Section 758 (elements). Restatement (Third) **1993**, Sections 39 to 45.
2. **Uniform Trade Secrets Act 1979**, amended **1985**. Exemplary damages capped at **twice** compensatory.
3. **Trade Secrets Act 1948**, 18 U.S.C. 1905, up to **one year**.
4. **Economic Espionage Act 1996**, 18 U.S.C. 1831 to 1839. **Section 1831**: 5 million dollars, 15 years; organisations the greater of 10 million dollars or **three times the value**. **Section 1832**: 250,000 dollars, 10 years; organisations 5 million dollars.
5. **Defend Trade Secrets Act 2016**, effective **11 May 2016**. **Eight** seizure conditions, hearing within **seven days**, limitation **three years**.
6. **Directive (EU) 2016/943**, adopted **8 June 2016**, compliance **9 June 2018**.
7. **TRIPS** Articles 39, 42, 44, 45. **Paris** Articles 10bis and 10ter.
8. **India**. Section 27 Contract Act; Sections 2(o) and 15(2) Copyright Act; Sections 43, 43A, 66, 72 and 72A Information Technology Act; Articles 19(1)(g) and 21 of the Constitution.
9. **Law Commission Report 289**, March 2024, **thirteen clauses in four chapters**, not enacted. National IP Policy **12 May 2016**. Trade Policy Forum **20 October 2016**.

13. Geographical indications, opening concepts

A geographical indication links a **product**, a **place** and a **causal link** between them, whether through **natural factors** such as soil, water, altitude and climate, or **human factors** such as an inherited craft skill.

Three nested concepts:

1. **Indication of source.** Origin only, with **no quality link**. The widest, and the subject of the Paris and Madrid Agreements on false indications of source.
2. **Geographical indication.** Origin **plus** a quality, reputation or characteristic **essentially attributable** to that origin. The TRIPS Article 22(1) and Indian concept.
3. **Appellation of origin.** Quality due **exclusively or essentially** to the geographical environment, with production, processing and preparation **all in the area**. The narrowest, from the Lisbon Agreement.

Against a trademark: one proprietor against a **class of producers**; commercial source against **geographical origin**; freely assignable against **not assignable, transmissible, licensable, pledgeable or mortgageable** under Section 24; proprietor and licensees against **any producer in the region** who meets the specification and is entered as an **authorised user**. Both last ten years and both are renewable.

A geographical indication cannot be sold because it is a collective right tied to a place. That one idea explains almost every difference from other intellectual property rights.

The Act. Geographical Indications of Goods (Registration and Protection) Act, 1999, Act 48 of 1999. Assent **30 December 1999**, in force **15 September 2003** with the 2002 Rules. Registrar is the **Controller General of Patents, Designs and Trade Marks**. Registry head office at **Chennai**. **Darjeeling tea** was the first Indian geographical indication, application number one.

14. Case index

For quick lookup. The full treatment is in the parts above.

Confidential information

Saltman Engineering v Campbell Engineering, (1948) 65 RPC 203 | **Coco v A N Clark (Engineers)**, [1969] RPC 41 | **Terrapin v Builders' Supply Co (Hayes)**, [1960] RPC 128 | **Faccenda Chicken v Fowler**, [1987] Ch 117 | **Attorney General v Guardian Newspapers** | **HRH Prince of Wales v Associated Newspapers**, [2006] EWCA Civ 1776

Restraint of trade

Mitchel v Reynolds, (1711) 1 P Wms 181 | **Niranjan Shankar Golikari v Century Spinning**, AIR 1967 SC 1098 | **Gujarat Bottling v Coca Cola**, (1995) 5 SCC 545 | **Lalbhai Dalpatbhai and Co v Chittaranjan Chandulal Pandya**, AIR 1966 Guj 189 | **Indus Power Tech v Echjay Industries**, 2024 SCC OnLine Bom 3349 | **Superintendence Company of India v Krishan Murgai**, AIR 1980 SC 1717 | **Percept D'Mark v Zaheer Khan**, (2006) 4 SCC 227 | **V F S Global v Suprit Roy**, 2008 (2) Bom CR 446 | **Desiccant Rotors v Bappaditya Sarkar**, 2009 SCC OnLine Del 1926 | **Varun Tyagi v Daffodil Software**, 2025:DHC:5015

Indian equity and confidence

John Richard Brady v Chemical Process Equipments, AIR 1987 Delhi 372 | **Homag India v Ulfath Ali Khan**, MANU/KA/1569/2012 | **Fairfest Media v Lte Group** (2015) | **Sandhya Organic Chemicals v United Phosphorous**, AIR 1997 Guj 177

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Ambience India v Naveen Jain (2005) | **American Express Bank v Priya Puri**, (2006) III LLJ 540 (Del) | **Bombay Dyeing v Mehar Karan Singh** | **Tata Motors v State of West Bengal** | **Diljeet Titus v Alfred A Adebare** (2006) | **Hi Tech Systems v Suprabhat Ray** (2015) | **Embee Software v Samir Kumar Shaw**

Copyright interface and pleading

Burlington Home Shopping v Rajnish Chibber, 61 (1995) DLT 6 | **Ritika Pvt Ltd v Biba Apparels**, DE 0784 2016 | **Genetics India v Shailendra Shiv**, 2011 (47) PTC 494 | **Navigators Logistics v Kashif Qureshi**, 2018 SCC OnLine Del 11321 | **Eastern Book Company v D B Modak**

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Zee Telefilms v Sundial Communications, 2003 (5) Bom CR 404 | **Anil Gupta v Kunal Dasgupta**, 97 (2002) DLT 257

Search orders

Anton Piller KG v Manufacturing Processes, [1976] Ch 55 | **Columbia Picture Industries v Robinson**, [1987] Ch 38 | **Universal Thermosensors v Hibben**, [1992] 1 WLR 840 | **M Sivasamy v Vestergaard Frandsen**, 2009 SCC OnLine Del 2310 | **Vestergaard Frandsen v Bestnet Europe**, [2013] UKSC 31

United States

PepsiCo v Redmond, 54 F.3d 1262 (7th Cir 1995) | **United States v Lange**, 312 F.3d 263 (7th Cir 2002) | **United States v Aleynikov**, 676 F.3d 71 (2d Cir 2012) | **Epic Systems v Tata Consultancy Services**, 980 F.3d 1117 (7th Cir 2020) | **TianRui Group v International Trade Commission**, 661 F.3d 1322 (Fed Cir 2011) | **Eastman Kodak v Powers Film Products** (1919) | **Barilla America v Wright** | **Del Monte Fresh Produce v Dole Food** | **Whyte v Schlage Lock** | **Central Valley General Hospital v Smith** | **Molon Motor and Coil v Nidec Motor** (N.D. Ill. 2017) | **Santander Securities v Gamche**, 2017 WL 1208066 | **Brand Energy v Irex** | **Motorola Solutions v Hytera Communications**, 436 F. Supp. 3d 1150

End of notes